

Investment Fees Calculator

Portfolio Fee Impact Analysis

United States · USD (\$)

fincalcsmart.com/investment-fees-calculator

EXECUTIVE SUMMARY

Healthy

\$1,081,699

Portfolio After Fees
30 years · 0.2% fee

\$44,169

Total Lost to Fees
4% of gross value

\$1,114,643

Value at 0.05% Fee
comparison scenario

89/100

Fee Drag Score
Excellent

CONTRIBUTIONS VS. NET RETURNS VS. LOST TO FEES (OF GROSS PORTFOLIO)



Total projected: \$1,125,868

Contributions: \$313,000 (27.8%) Net Returns: \$768,699 (68.3%) Lost to Fees: \$44,169 (3.9%)

AI-ASSISTED FEE IMPACT SUMMARY

This scenario applies a 0.2% annual fee to a portfolio with an assumed gross return of 7% over 30 years. The estimated portfolio value after fees is \$1,081,699, compared to \$1,125,868 before any fees. Total fees consumed over this period amount to \$44,169 — 4% of the gross portfolio value.

Switching from the current 0.2% fee to the comparison rate of 0.05% would add an estimated \$32,944 to the portfolio over 30 years, equivalent to \$91.51/month in additional contribution value. Growth efficiency at the current fee is 96.1%, meaning 4% of potential gross returns are lost to fees.

To offset the full fee drag of the 0.2% annual fee over 30 years, an estimated additional \$39.18/month in contributions would be needed to match the gross (no-fee) portfolio value. Fee drag compounds with time — at 10 years, fees consume \$2,315; at 20 years, \$12,656; at 30 years, \$44,169.

INPUTS & ASSUMPTIONS

Initial Investment	\$25,000
Monthly Contribution	\$800.00/month
Expected Annual Return	7% (gross, before fees)
Annual Fee (Current)	0.2%
Annual Fee (Comparison)	0.05%
Investment Horizon	30 years

SCENARIO BREAKDOWN

Total Contributions	\$313,000
Gross Portfolio Value	\$1,125,868
Portfolio After Fees	\$1,081,699
Net Returns (after fees)	\$768,699
Total Lost to Fees	\$44,169
Value at 0.05% Fee	\$1,114,643
Potential Fee Savings	\$32,944
Monthly Equiv. Saving	\$91.51/month
Growth Efficiency	96.1%
Fee Drag Score	89/100 (Excellent)

KEY DRIVERS / POSSIBLE ADJUSTMENTS

- Fee Drag Score: 89/100 (Excellent). A 0.2% annual fee is below average — lower than most actively managed funds. Over 30 years, fee drag reduces the portfolio by \$44,169 relative to a zero-fee scenario. The Compounding Effect of fees accelerates with time — each additional year amplifies the total cost.
- Time horizon impact at the current 0.2% fee: fees consume \$2,315 by year 10, \$12,656 by year 20, \$44,169 by year 30. Fee drag compounds — the longer the horizon, the larger the share of returns absorbed by fees.
- Comparison opportunity: switching to the 0.05% comparison fee would add an estimated \$32,944 to the portfolio after 30 years. Growth efficiency would improve from 96.1% to 99.0%.

METHODOLOGY

What this calculator models:

- Calculates gross future value using the standard future-value annuity formula with the full annual return rate applied to the initial investment and monthly contributions.
- Derives the net (after-fee) future value by subtracting the annual fee from the gross return rate, then applying the same annuity formula. The difference between gross and net future value is the total fee drag.
- Computes the Fee Drag Score from the percentage of gross future value consumed by fees — a score of 100 means zero fee impact; lower scores reflect higher fee drag relative to gross growth.
- Calculates time-horizon milestones at 10, 20, and 30 years to illustrate how fee drag compounds non-linearly — the share of returns lost to fees increases with each additional year.

What this calculator does not model:

- Taxes on investment gains or distributions.
- Inflation — all projected values are nominal and not adjusted for purchasing power changes.
- Variable fees, performance-based fees, redemption charges, or other transaction costs beyond the stated annual percentage.

EDUCATIONAL DISCLAIMER

This report is for illustrative and educational purposes only. Projected future values are estimates based on a fixed gross annual return rate and a constant annual fee applied over the stated investment horizon. Actual investment returns and fees vary — past performance does not predict future results. This model does not account for taxes, inflation, market volatility, changes in contribution amounts, or fund-specific fee structures. The Fee Drag Score reflects the share of gross future value consumed by fees under the stated assumptions and does not constitute a guarantee or prediction of investment performance. Results do not constitute financial, investment, tax, or legal advice. Consult a qualified financial advisor before making any investment decisions.